

August 3, 2026 06:45 AM GMT

Semiconductors | North America

Weekly: Earnings Week 3 (AMD, ALAB, GFS, SNDK, AEVA, IONQ, MCHP); NXP/AMBA

WHAT'S CHANGED		
Astera Labs Inc (ALAB.O)	From	To
Price Target	\$240.00	\$335.00
GlobalFoundries Inc (GFS.O)		
Price Target	\$65.00	\$57.00

We expect another strong set of #s - SNDK, AMD CPU are focus areas. We also add context to an unsubstantiated press report that NXP could be in talks to buy Ambarella.

Thoughts on news report of NXP/AMBA acquisition: [Financial Times reported](#) that NXP is in talks to buy Ambarella; neither company confirmed the report and we have no validation of the report's veracity, nor any knowledge of whether any such transaction might occur..

That said, the strategic value of Ambarella has long been one element of our OW thesis, although our conviction has primarily been driven by the strength of the underlying technology (see [Quick thoughts on potential AMBA sale](#)). We believe AMBA has best-in-class edge AI capabilities, particularly for compute-intensive vision applications where power efficiency is critical. The challenge, in our view, has been converting that technology into commercial success, most notably in automotive, where risk-averse OEMs have been slow to adopt new platforms and AMBA competes against significantly larger suppliers, including NVIDIA, Mobileye and Qualcomm (MBLY covered by Andrew Percoco). The company's failure to secure a significant Level 3 opportunity at Volkswagen last year, despite appearing well positioned, illustrates the difficulty a smaller vendor can face when competing for mission-critical programs.

A bigger company could potentially accelerate the automotive strategy. AMBA has very strong customer relationships, but despite key tier one wins for its ADAS solutions with Continental and Bosch, automotive OEMs remain risk averse. NXP is a trusted supplier across the automotive ecosystem and a leader in central processors for software-defined vehicles, but has relatively limited exposure to ADAS today. AMBA's computer vision and autonomy capabilities could therefore represent a natural strategic fit, in our view, while NXP's scale, customer relationships and established reputation could give OEMs greater confidence in adopting a combined platform. Although any potential transaction could be initially dilutive for a company such as NXP given AMBA's stock-based compensation and limited GAAP earnings contribution, we would view those near-term considerations as secondary to the potential for NXP to accelerate commercialization of what we believe is highly differentiated technology. We would also expect NXP to seek some

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SEMICONDUCTORS	
North America	
Industry View	Attractive

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level of customer validation before proceeding with any offer for another company.

From the lens of NXP, we see the rationale behind the reported combination with Ambarella given NXP's explicit gap in camera-based ADAS - mgmt has stated directly that "we don't do cameras, we don't do LiDAR" - making AMBA's computer vision SoC a potential strategic fill. This could also fit NXP's broader 2025 acquisition pattern of stacking the intelligent vehicle portfolio layer by layer, having already closed Kinara (edge AI NPUs), TTTech Auto (SDV middleware), and Aviva Links (in-vehicle connectivity). NXP's trusted OEM relationships and growing SDV platform - where accelerated automotive growth drivers grew 22% y/y in the most recent reported JunQ - could provide the commercial infrastructure for AMBA in any potential tie-up. Although we believe that there would be near-term dilution from such a deal, we also note that this would be consistent with NXP's prior deals where material revenue contribution is not expected until 2028 and beyond.

AMD (EW, reporting after the market close on Tuesday, August 4th): Expecting strong results driven by server CPU, with early confidence on MI455 but limited near term upside. AMD hosted its advancing AI event a little less than two weeks ago, where management raised its long term server market expectations to a ~\$220bn TAM in 2030 (50% CAGR), almost double the \$120bn TAM given on its prior earnings call. So it would seem to be the case that demand signals from customers have continued to strengthen intra quarter. Given sold out conditions we're not expecting imminent upside, but the market is clearly quite strong as evidenced by Intel's results as well. Using AMD's new 50% CAGR as a baseline, our new 49% y/y growth in server in 2027 still looks conservative, as AMD's product position should keep them in a share gain position. Expectations here are high, but it's our sense that AMD is not hitting any near term ceilings in terms of capacity that will limit upside, and we see mid to low teens q/q growth for each of the remaining quarters this year.

Where there's more uncertainty is the MI455 series transition in the second half, that's much more weighted to Q4 than Q3 but guidance should include some contribution from the new product. There's also the \$2.5bn a quarter or so existing base of prior generation instinct product revenue, which may come down at the expense of MI455. We model a \$700mn increase in GPU in Q3 vs Q2, with an additional \$2.2bn coming in Q4.

Expect client/gaming/embedded more or less in-line. In client PC, we continue to model a significantly below seasonal second half, and modest growth y/y given well understood headwinds in memory. In embedded, we see y/y growth accelerating through CY26 with broader analog semis as the segment continues its recovery toward what should be a solid double digit long term growth rate.

Changes to Estimates: For the full FY26, we now forecast \$49.623bn in revenue, 55.0% non-GAAP gross margins, and \$7.41 in non-GAAP EPS, up from our prior \$48.807bn/55.2%/\$7.22. For FY27, we forecast 53.4% topline growth, now looking for \$76.102bn in revenue, 56.3% non-GAAP gross margins, and \$14.19 in non-GAAP EPS vs our prior \$68.227bn/56.9%/\$12.12. Upward revisions are concentrated in the datacenter segment, where we now model server revenue y/y growth of 79%/49%

in FY26/27 vs 77%/44% previously. In GPU, we raise FY27 from \$23bn to \$30bn, and leave FY26 roughly unchanged at ~\$13bn.

ALAB (OW, reporting after the market close on Tuesday, August 4th): Scorpio ramp supports another beat and raise; long-term focus shifting to UALink, optics, and customer diversification. We believe Astera Labs remains well positioned heading into earnings, supported by continued AI networking strength and an excellent execution track record. The company is entering the main ramp of the Trainium 3 Scorpio switch in the second half, which should support a constructive outlook. We model second-quarter revenue growth of 17.4% sequentially and third-quarter growth of 12.0%, with potential for modest upside to guidance as Scorpio-X shipments increase. Management expects Scorpio to become Astera's largest product line by December. Key items to watch this quarter are design-win momentum, diversification beyond Amazon, and gross margins, where product investment and noncash expenses tied to customer warrant agreements could create near-term pressure.

Beyond the quarter, the key debate is the durability and breadth of growth after the current Scorpio cycle. We are focused on Astera's positioning in newer scale-up fabrics, including UALink, as well as optical connectivity and custom solutions. UALink and PCIe represent a combined estimated TAM of roughly \$10 billion, with initial UALink and optical revenue ramps expected in 2027 and further upside from CPO over time. These opportunities support management's goal of increasing content per XPU from more than \$1,000 today, versus below \$100 several years ago, toward \$10,000 over the next three to five years. Overall, we expect continued AI networking tailwinds and strong execution to support further estimate upside, though the magnitude of the outlook will be important given more demanding second-half expectations.

In terms of our price target, we use EV/Sales/Growth. We are raising our price target to \$335 from \$240, which is 0.75x 2027 sales of \$1,957mn assuming a 40% 25-28 CAGR. The stock remains expensive, but it is one of our favorite ways to play the AI connectivity theme and we have continued confidence in the durability of the company's above-market growth.

GFS (EW, reporting before the market open on Wednesday, August 5th): Transition away from consumer towards stronger auto/data center. Qualcomm's results may spell caution for GFS's mobile business, but strength in AI and trailing-edge undersupply are increasingly relevant tailwinds. Qualcomm guided below consensus last week, in part due to a lower than expected share of the iPhone 18, something that is likely to have negative ramifications for GFS's RF content within Apple. The company had guided for its smart mobile segment to see modest outperformance versus overall smartphone units, with a higher premium mix playing a role. However, given Qualcomm's importance as a customer (15% of overall revenue last year) we would be somewhat cautious on the outlook.

Qualcomm's results do, however, also point to other markets that remain quite

healthy, such as IoT. And across earnings results thus far, trailing-edge demand is improving even ex-AI. So, while mobile may be a headwind, we expect GFS's CID, Auto, and IoT segments to largely track. Utilization is also now approaching full levels across the space, with UMC now 90%, and we would expect that to translate into like-for-like pricing increases in the second half, in line with expectations. Pricing, along with recent M&A, is cause for some optimism around the 30%+ gross-margin exit rate.

As for AI tailwinds for GFS, we think there is limited upside in the near term, given already sold-out conditions in key corridors around power and optics. However, it remains an important focus area, along with reshoring. We expect to hear about customer engagement around both later this week.

The stock has derated significantly due to the recent sell-off, and at 20x consensus 2027 EPS, we see a much more compelling investment opportunity in the bull case. For now, however, the framework GFS laid out at its investor day still seems like the right way to frame the base case, making for a balanced risk-reward profile.

Changes to PT: Our prior \$65 PT was based on ~27x EPS; given the multiple compression in the peer group we are lowering that to 24x. Still a premium to scaled foundries in Asia (TSMC, UMC) due to geopolitical opportunities. On our unchanged \$2.39 EPS that brings the target to \$57.

SNKD (OW, reporting after the market close on Wednesday, August 5th): We have very strong conviction that NAND remains durably strong, and that duration is our focus. Our view of the NAND market is that conditions have actually materially strengthened in the last 30 days. We have heard some anxiety on the market, as some, including third party Trendforce, have signalled some softness, but in our view those concerns are stale. A month ago we had seen some of the wobbles that Trendforce recently reported, but the market is now unequivocally strong, and durable, with data center customers voicing long term concerns that they cannot meet demand this year, next year, or the year after. So we are confident in better for longer.

Shorter term expectations are a still high, and if our conviction is 9.5 out of 10 that fundamentals will remain strong, we are closer to 7.5 out of 10 that the stock trades up on T+1. The debates on Q4 and 2027 have done little to lower expectations on near term results with a wide range of buy side expectations. Sandisk JV partner Kioxia reported last week, and saw pricing up 70% in their calendar 2Q. Sandisk and Kioxia had similar 100%+ q/q ASP increases a quarter ago, but it's important to realize the companies do have a very different business mix, and we wouldn't automatically assume identical trends. We model pricing up 23% in June and another 15% in September. We see upside to both estimates but wouldn't go as far as some of the numbers we are hearing despite the strength in the overall market.

What about LTAs? Sandisk may provide an update on LTA conversations with customers. As of a quarter ago Sandisk had 1/3rd of FY27 bits allocated under these agreements and we now think it is materially higher. Investor sentiment on LTAs has been a bit more mixed of late, amid concerns that it could cap the earnings upside,

and we wouldn't rule out that reaction here as the LTAs do trade off some upside for duration. But the more important factor for us would be the signalling involved - if the biggest hyperscalers are tying up cash in 2028/29 agreements, it's a clear indication that they believe this to be durable. We do not believe that deals currently being closed are capped at the current level, given significant price adjustments that can be factored in over time.

We think this is an attractive entry point into the stock, as the 50% correction gets the stock back into the mid-low single digit PE range if sentiment on cycle duration improves we could see multiples return to recent peaks quite quickly with downside limited by strong near-term results.

AEVA (EW, reporting after the close on Wednesday, August 5th): We expect continued progress on automotive milestones, with updates on new product opportunities in industrial sensing, 360-degree lidar, and potentially data center.

Aeva is still early in its commercial journey, and we think updates at this stage are likely to remain evolutionary rather than revolutionary. In automotive, expectations for a Daimler revenue ramp through CY26/27 ahead of the Torc commercial launch, as well as SOP in 2028 for the top European OEM, are likely to remain unchanged. There is greater potential for news around the top-five OEM development program, the sizing of the Bendix opportunity, and any new engagements arising through Nvidia's Hyperion platform.

Outside automotive, we also expect to hear about progress on Aeva's development of its 360-degree product, "Omni," and industrial sensing ramps with Nikon and others. Perhaps the most intriguing of Aeva's opportunities is the applicability of its SOA technology to CPO. However, given the uncertain and long-dated nature of any data center potential, we do not necessarily expect to hear anything new.

Aeva's FMCW technology continues to be well positioned across physical AI applications, but there is still a long path to commercial scale.

IONQ (EW, reporting after the market close on Wednesday, August 5th): Focus on SkyWater integration, the 256-qubit system, and IonQ's changing financial profile.

IonQ has exceeded its revenue outlook by 20–50% in each of the past four quarters, and we expect that pattern to continue. The specific drivers of quarterly upside remain difficult to isolate, and conservatism likely plays a role, but momentum appears strong across both organic and acquired businesses. We model second-quarter revenue of \$66.0 million, broadly in line with consensus at \$66.5 million, followed by 1.5% sequential growth in the third quarter. Beyond the results, we will be focused on commercial momentum across compute, networking, sensing, and space.

Beyond the quarter, the key debate is how SkyWater reshapes IonQ's roadmap and financial profile. IonQ has now closed the acquisition, and we estimate pro forma CY27 revenue of \$952 million, gross margin of 25%, and an operating loss of roughly \$517 million (see [IonQ to Acquire SkyWater Technology](#)). SkyWater will contribute the vast majority of combined-company revenue and physical assets, shifting IonQ

away from a pure-play quantum model toward a more capital-intensive foundry and space platform. On the call, we will be looking for an updated pro forma outlook and confirmation that the 256-qubit system remains on track for demonstrations by year-end and delivery in the first half of 2027. Ultimately, for us, the story still depends most on IonQ demonstrating quantum technology leadership and translating its broad portfolio into durable commercial growth.

MCHP (EW, reporting after the market close on Thursday, August 6th): We expect a strong quarter similar to TI, STMicro, and Renesas - but the bar is high with almost every analog stock having traded down after reporting so far this cycle. Intra-quarter, the tone from mgmt was notably constructive - the inventory correction looks durable and largely complete, customer counts are recovering at an extremely fast rate, distribution inventory is running lean below the normal range, and customers are ordering to demand vs restocking. Structural tailwinds have also continued to show momentum such as Data Center, A&D, and Industrial - with the Hailo edge AI acquisition (June 24th) providing another potential growth vector. What we are watching for earnings:

1.) SepQ guide. Mgmt was explicit that restocking has not yet begun - customers are just placing orders to get back to run rate - so the above-seasonal growth is coming from true end demand, not a pull-forward; peer read-throughs from STMicro (MCU supply tightening, POS "very strong") and Renesas (auto customers having run inventory too low, channel WOI declining despite inventory builds) are constructive direct read-throughs for MCHP's ~30% industrial and ~18% A&D mix.

2.) Gen 6 PCIe ramp and data center disclosure. The pure-play Data Center Solutions unit did \$303mn in CY25 and was guided to ~\$500mn in CY26 - but volume production on Gen 6 PCIe (3nm product) doesn't start until late this fiscal year, with the major ramp in CY27; any pull-forward in customer commitments or new design win color would be a meaningful positive.

AlphaSignals Earnings Preview

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
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Aeva Technologies Inc AEVA.O

June Q Revenue	— In-line	— Largely unchanged
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GlobalFoundries Inc GFS.O

Sept Q EPS Guidance	— In-line	— Largely unchanged
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Microchip Technology Inc. MCHP.O

SepQ Guide	↑ Likely upside surprise	↑ Modest revision higher
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IonQ Inc IONQ.N

SepQ Revenue Guide	↑ Likely upside surprise	— Largely unchanged
• Focus on SkyWater integration, the 256-qubit system, and IonQ's changing financial profile.		

Astera Labs Inc ALAB.O

SepQ Revenue Guide	↑ Likely upside surprise	↑ Modest revision higher
• Scorpio ramp supports another beat and raise; long-term focus shifting to UALink, optics, and customer diversification.		

SanDisk Corporation. SNDK.O

Sept Q EPS Guidance	↑ Very likely upside surprise	↑ Modest revision higher
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Advanced Micro Devices AMD.O

Sept Q Revenue Guidance	↑ Likely upside surprise	↑ Modest revision higher
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*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

AMD Earnings Preview

The company is scheduled to report after the market close on Tuesday, August 4th.

Expecting strong results driven by server CPU, with early confidence on MI455 but limited near term upside. AMD hosted its advancing AI event a little less than two weeks ago, where management raised its long term server market expectations to a ~\$220bn TAM in 2030 (50% CAGR), almost double the \$120bn TAM given on its prior earnings call. So it would seem to be the case that demand signals from customers have continued to strengthen intra quarter. Given sold out conditions we're not expecting imminent upside, but the market is clearly quite strong as evidenced by Intel's results as well. Using AMD's new 50% CAGR as a baseline, our new 49% y/y growth in server in 2027 still looks conservative, as AMD's product position should keep them in a share gain position. Expectations here are high, but it's our sense that AMD is not hitting any near term ceilings in terms of capacity that will limit upside, and we see mid to low teens q/q growth for each of the remaining quarters this year.

Where there's more uncertainty is the MI455 series transition in the second half, that's much more weighted to Q4 than Q3 but guidance should include some contribution from the new product. There's also the \$2.5bn a quarter or so existing base of prior generation instinct product revenue, which may come down at the expense of MI455. We model a \$700mn increase in GPU in Q3 vs Q2, with an additional \$2.2bn coming in Q4.

Expect client/gaming/embedded more or less in-line. In client PC, we continue to model a significantly below seasonal second half, and modest growth y/y given well understood headwinds in memory. In embedded, we see y/y growth accelerating through CY26 with broader analog semis as the segment continues its recovery toward what should be a solid double digit long term growth rate.

Changes to Estimates: For the full FY26, we now forecast \$49.623bn in revenue, 55.0% non-GAAP gross margins, and \$7.41 in non-GAAP EPS, up from our prior \$48.807bn/55.2%/\$7.22. For FY27, we forecast 53.4% topline growth, now looking for \$76.102bn in revenue, 56.3% non-GAAP gross margins, and \$14.19 in non-GAAP EPS vs our prior \$68.227bn/56.9%/\$12.12. Upward revisions are concentrated in the datacenter segment, where we now model server revenue y/y growth of 79%/49% in FY26/27 vs 77%/44% previously. In GPU, we raise FY27 from \$23bn to \$30bn, and leave FY26 roughly unchanged at ~\$13bn.

Details on the June quarter: We model revenue for the June quarter to come in at \$11.297bn (up 10.2% q/q and up 47.0% y/y), just below the Street at \$11.306bn. For the quarter by end market, we expect Data Center to be up 13.9% q/q, Client up 3.9% q/q, Gaming up 5.5% q/q, and Embedded up 10.0% q/q. We model for non-GAAP gross margins of 56.0%, slightly above the Street at 55.8%, and EPS of \$1.61, in-line with the Street (Street \$1.62).

September quarter outlook: We model revenue for the September quarter to come in at \$12.607bn (up 11.6% q/q and up 36.4% y/y), just above the Street at \$12.528bn. For the quarter by end market, we expect Data Center to be up 20.8% q/q, Client down 2.3% q/q, Gaming down 11.3% q/q, and Embedded up 10.0% q/q. We model for non-GAAP gross margins of 54.8%, below the Street at 56.0%, and EPS of \$1.85, \$0.03 below the Street.

Exhibit 1: MS vs. Cons**AMD: MS vs. Consensus***Figures in \$ MM's*

	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revs.	11,297	11,306	12,607	12,528	49,623	50,201	76,102	79,630
Q/Q Ch.	10.2%	10.3%	11.6%	10.8%				
GMs	56.0%	55.8%	54.8%	56.0%	55.0%	55.4%	56.3%	55.1%
EPS	\$1.61	\$1.62	\$1.85	\$1.88	\$7.41	\$7.51	\$14.19	\$13.83

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Advanced Micro Devices (AMD.O)

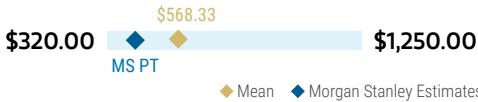
Like AMD's position in server, but high AI expectations limit room for upside

PRICE TARGET \$410.00

Our \$410 PT for AMD equals ~31x base case FY2027e MWEPS of \$13.13, reflecting further share gains at the expense of Intel, and 79% y/y growth in datacenter (~100% in AI)

Consensus Price Target Distribution

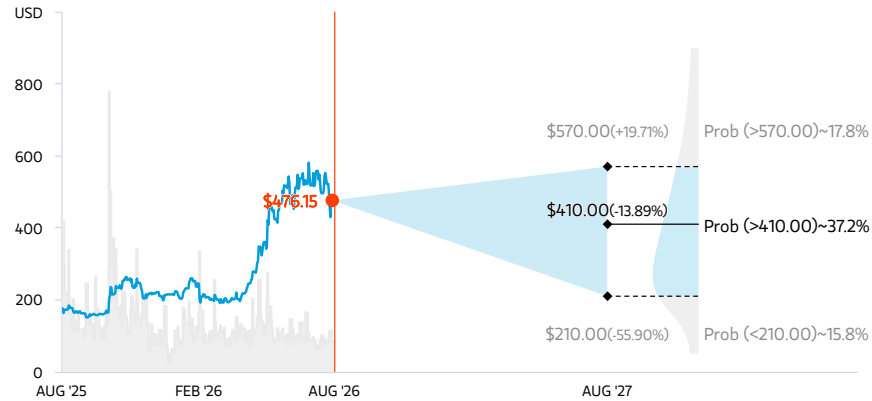
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

We see continued share gains in notebook and server processors in 2026 and 2027 as AMD continues to execute on its product roadmap. AMD's AI story should gain momentum later this year with MI450 products, but performance leadership will be key. An area where AMD will need to prove they can deliver competitive ROI vs incumbents

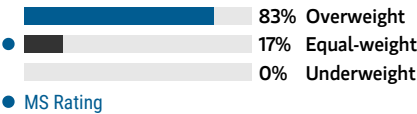
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 31 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$570.00	BASE CASE	\$410.00	BEAR CASE	\$210.00
~40x bull case FY2027e MW EPS of \$14.27		~31x base case FY2027e MW EPS of \$13.13		~20x bear case FY2027e MW EPS of \$9.45	
Bull case assumes further execution for AMD. In computing and graphics, AMD continues to gain material market share, while both CPU and GPU markets remain healthier than forecasted. AMD solidifies a #2 position in the datacenter GPU market		Further share gains for AMD in server compute and notebook continue to drive growth, further supported by a strengthening AI GPU story		AMD loses momentum in AI, and Intel shows signs it's beginning to regain its footing in server. The multiple compresses as they are unable to drive meaningful revenues in AI markets beyond one or two customers	

Risk Reward – Advanced Micro Devices (AMD.O)

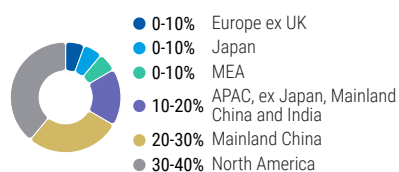
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	34,639	49,623	76,102	97,493
Non-GAAP Gross Margin (%)	52.4	55.0	56.3	57.2
Non-GAAP EPS (\$)	4.23	7.41	14.19	18.97
Inventory (\$, mm)	7,920	13,609	18,017	20,206
DOI	165.3	212.4	191.8	174.2

INVESTMENT DRIVERS

- AMD continues to execute to its product roadmaps, enabling it to gain share on a smaller R&D budget than INTC
- AI ecosystem adoption takes time, and we see AMD's early success as more of a testament to the strength of the overall market thus far

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Datacenter GPU outperforms expectations, closing the gap with Nvidia
- PC and server share gain accelerates; Intel's competitive response is less impressive than expected
- Server refresh drives datacenter revenue above expectations

RISKS TO DOWNSIDE

- Intel's server CPUs in 2027 stifle AMD's momentum and allow it to regain share
- AMD loses graphics share to NVIDIA
- Datacenter GPU underperforms expectations

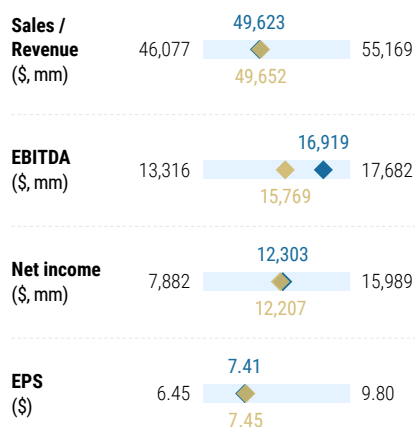
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.7%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

ALAB Earnings Preview

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In terms of our price target, we use EV/Sales/Growth. We are raising our price target to \$335 from \$240, which is 0.75x 2027 sales of \$1,957mn assuming a 40% 25-28 CAGR. The stock remains expensive, but it is one of our favorite ways to play the AI connectivity theme and we have continued confidence in the durability of the company's above-market growth.

Details on the June Quarter: We model revenue of \$362.2mn (up 17.4% q/q and 88.7% y/y), slightly above the Street at \$360.6mn. We expect gross margin of 73.1% in-line with the Street at 72.8% and non-GAAP EPS of \$0.70, also in-line with the Street at \$0.69.

September Quarter Outlook: Next quarter we model revenue of \$405.7mn (+12.0% q/q and 76.0% y/y), below the Street at \$412.2mn. We model gross margin of 72.0% above the Street at 71.1%, and expect EPS of \$0.73, below the Street at \$0.79.

Exhibit 2: ALAB: MS vs. Cons

Figures in \$ MM\$								
	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Rev	362.2	360.6	405.7	412.2	1,531.8	1,552.4	1,957.1	2,262.7
Q/Q Change	17.4%	16.9%	12.0%	14.3%				
GMs	73.1%	72.8%	72.0%	71.1%	73.1%	72.2%	70.9%	70.4%
EPS	\$ 0.70	\$ 0.69	\$ 0.73	\$ 0.79	\$ 2.88	\$ 3.03	\$ 3.70	\$ 4.71

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Astera Labs Inc (ALAB.O)

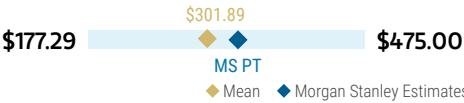
AI connectivity leader poised for outsized growth

PRICE TARGET \$335.00

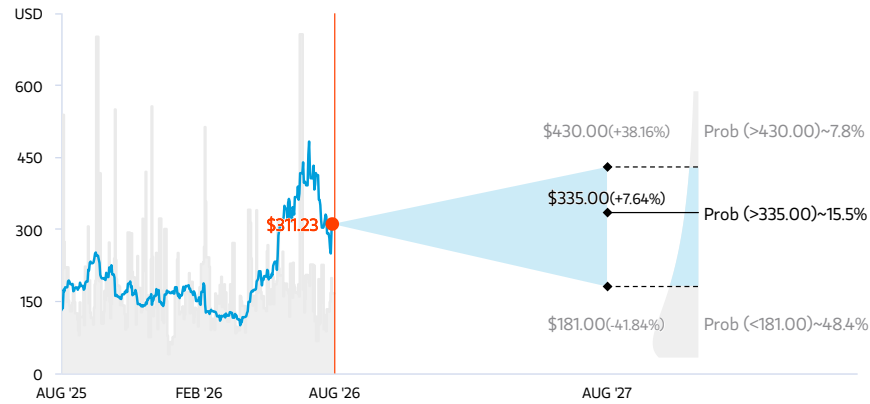
We apply a 0.75x CY27 EV/sales/growth multiple, assuming a 40% revenue CAGR. While this represents a premium to AI peers, we believe it is warranted by ALAB's superior growth profile and nearly 100% exposure to AI connectivity.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



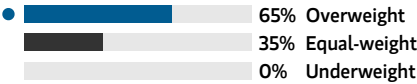
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 31 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Technology leadership in critical areas central to modern compute
- Large AI exposure, agnostic to processors, with an early incumbency advantage
- Ability to outgrow the AI ramp through multiple product cycles

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

- Secular Growth: Positive
- Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$430.00

0.85x EV/S/G on CY27 rev of \$2.250bn
We reflect a better than expected ramp from new products as well as Astera retaining their monopolistic market share.

-Revenue growth accelerates from successful launch of new products and maintained leadership in Aries and Successful ramp of Scorpio

- Assume 45% 26-28 revenue CAGR

BASE CASE

\$335.00

0.75x EV/Sales/G on CY27 revenue of \$1.957bn
We expect Astera to trade at a premium to the other major networking players due to their unique AI exposure. In addition, their revenue ramp is just beginning and we forecast higher growth than peers.

- 0.75x is a premium to peer group

- Assume 40% 26-28 revenue CAGR

BEAR CASE

\$181.00

0.7x EV/S/G on CY27 sales of \$1.6bn

We reflect weaker than expected contribution from new products and significant Aries retimer share loss. Investors question future prospects for growth as key debates go in the wrong direction.

-Topline growth significantly slows as Astera loses dominant position and Scorpio fails to gain traction

- Assume 20% 26-28 revenue CAGR

Risk Reward – Astera Labs Inc (ALAB.O)

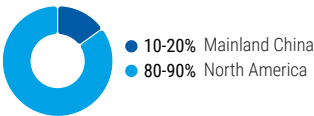
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Revenue (\$M) (\$, mm)	853	1,532	1,957	2,364
Non-GAAP Gross Margin (%) (%)	75.8	73.1	70.9	70.4
Non-GAAP EBITDA Margin (%) (%)	40.0	37.4	39.8	39.2
Non-GAAP Net Income (\$M) (\$, mm)	331	532	714	849
Non-GAAP EPS (\$) (\$)	1.84	2.88	3.70	4.22

INVESTMENT DRIVERS

- AI data center spend
- PCIe, CXL, and Ethernet technology upgrade cycles
- Competitive positioning

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Increase AI spend to propel data center revenue
- Quicker upgrade of underlying technology driving content growth
- New product launches increasing TAM

RISKS TO DOWNSIDE

- Increased competition reduces Astera's market share meaningfully
- Pause in AI spend and data center investment halts future revenue growth
- CXL servers and 1.6T port speeds are significantly delayed, preventing new products from gaining traction

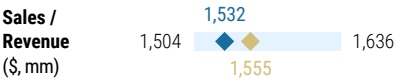
OWNERSHIP POSITIONING

Inst. Owners, % Active	57.2%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Global Foundries Earnings Preview

The company is scheduled to report before the market open on Wednesday, August 5th.

Qualcomm's results may spell caution for GFS's mobile business, but strength in AI and trailing-edge undersupply are increasingly relevant tailwinds. Qualcomm guided below consensus last week, in part due to a lower than expected share of the iPhone 18, something that is likely to have negative ramifications for GFS's RF content within Apple. The company had guided for its smart mobile segment to see modest outperformance versus overall smartphone units, with a higher premium mix playing a role. However, given Qualcomm's importance as a customer (15% of overall revenue last year) we would be somewhat cautious on the outlook.

Qualcomm's results do, however, also point to other markets that remain quite healthy, such as IoT. And across earnings results thus far, trailing-edge demand is improving even ex-AI. So, while mobile may be a headwind, we expect GFS's CID, Auto, and IoT segments to largely track. Utilization is also now approaching full levels across the space, with UMC now above 90%, and we would expect that to translate into like-for-like pricing increases in the second half, in line with expectations. Pricing, along with recent M&A, is cause for some optimism around the 30%+ gross-margin exit rate.

As for AI tailwinds for GFS, we think there is limited upside in the near term, given already sold-out conditions in key corridors around power and optics. However, it remains an important focus area, along with reshoring. We expect to hear about customer engagement around both later this week.

The stock has derated significantly due to the recent sell-off, and at 20x consensus 2027 EPS, we see a much more compelling investment opportunity in the bull case. For now, however, the framework GFS laid out at its investor day still seems like the right way to frame the base case, making for a balanced risk-reward profile.

Changes to PT: Our prior \$65 PT was based on ~27x EPS, given the multiple compression in the peer group we are lowering that to 24x. Still a premium to scaled foundries in asia (TSMC, UMC) due to geopolitical opportunities. On our unchanged \$2.39 EPS that brings the target to \$57.

Details on this quarter: For the next quarter, we model revenue of \$1,761mn (up 7.8% q/q and up 4.3% y/y), in line with the Street at \$1,764mn. We see gross margins coming in at 28.5% compared to consensus at 28.2%. Finally, we expect non-GAAP EPS of \$0.42, in line with the Street at \$0.43.

Next quarter outlook: Looking ahead, we model revenue of \$1,817mn (up 3.1% q/q and up 7.6% y/y), below the Street at \$1,876mn. We see gross margins coming in at 29.5% compared to consensus at 29.2%. Finally, we expect non-GAAP EPS of \$0.48, in-line the Street at \$0.49.

Exhibit 3: GFS: MS vs. Cons

MS vs. Consensus

Figures in \$ MM								
	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revenues	1,761	1,764	1,817	1,876	7,250	7,244	8,065	8,042
Q/Q Change	7.8%	8.0%	3.1%	6.4%				
GMs	28.5%	28.2%	29.5%	29.2%	29.6%	29.2%	31.9%	32.4%
EPS	\$ 0.42	\$ 0.43	\$ 0.48	\$ 0.49	\$ 1.94	\$ 1.90	\$ 2.39	\$ 2.49

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – GlobalFoundries Inc (GFS.O)

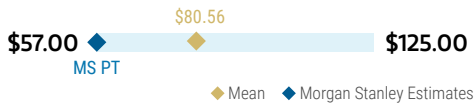
High strategic value, but slower end market recovery limits near-term upside

PRICE TARGET \$57.00

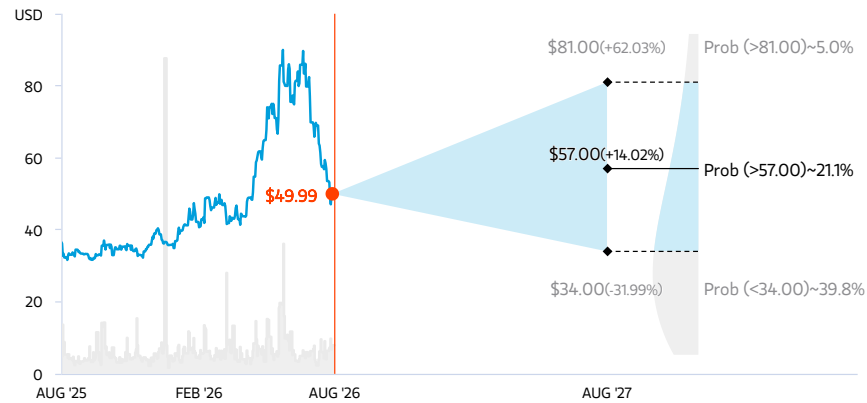
~24x 2027e EPS of US\$2.39 – a premium to trailing edge foundry peers in Asia; in line with US semiconductor customers.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



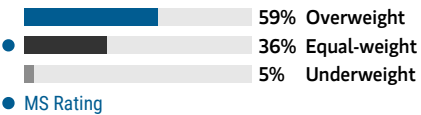
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 31 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- We like GlobalFoundries' positioning as the only scale pure-play US foundry with room for margin improvement. We also like that the company is focusing on pervasive semiconductors with fast-growing end markets for which capex and costs are lower than peers', focusing on trailing edge process technology development. GFS also has majority sole-sourced business and meaningful long-term commitments.
- We see substantial strategic value for GFS within the context of global geopolitical and trade tensions. This is also a positive for business opportunities.
- But benefits need to be weighed against the slower semi market recovery and more challenging competitive backdrop, leaving RR more balanced.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: Positive
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$81.00	BASE CASE	\$57.00	BEAR CASE	\$34.00
~27x 2027e EPS of US\$3.01					
- Revenue grows to US\$8.871bn in 2027.					
- Mix shift improvement is better than expected and increased revenue provides greater economies of scale - gross margins increase to 33.7% in 2027.					
- Due to greater revenue growth, operating margins improve more quickly to 22.3% in 2027.					
- Strategic value increases as US competition struggles to take market share and geopolitical trade tensions increase, driving multiple expansion.					
~24x 2027e EPS of US\$2.39					
- Revenue grows to US\$7.674bn in 2027.					
- Positive mix shift and scaling effects lead to gross margin improvement to 31.1% in 2027.					
- Mix shift and cost savings initiatives expand operating margin to 19.7% in 2027.					
~20x 2027e EPS of US\$1.70					
- Revenue grows to US\$7.258bn in 2027.					
- Mix shift is more challenging and scaling effects are reduced - gross margins expand more modestly to 28.8% in 2027.					
- Due to less revenue growth, and thus less operating leverage effects, operating margins improve more slowly to 15.1% in 2027.					
- Strategic value falls as geopolitical tensions ease and US competition strengthens, driving multiple compression.					

Risk Reward – GlobalFoundries Inc (GFS.O)

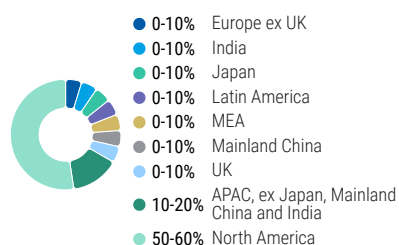
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, mm)	6,791	7,250	8,065	8,909
Adjusted Gross Margin (%)	26.1	29.6	31.9	33.4
Adjusted Net Income (\$, mm)	965	1,092	1,348	1,687
Adjusted EBITDA (\$, mm)	1,919	2,531	2,976	3,530

INVESTMENT DRIVERS

- Rapid growth in automotive, IoT, and Mobile end markets
- Margin improvement due to scaling and mix shift
- Sticky revenue due to sole sourced business and long-term agreements
- Strategic geographic value

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Supply sourcing shifts more rapidly from Asia to USA (GFS).
- Tight market persistence and stronger government lift revenue, allowing for more strategic mix shift and greater economies of scale.

RISKS TO DOWNSIDE

- End-market demand improves less slowly, putting pressure on revenue.
- Mix shift improves less, dampening gross margin expansion.
- Current 12nm+ end markets migrate to 10nm.

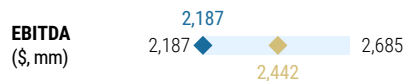
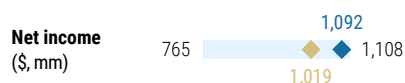
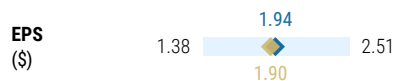
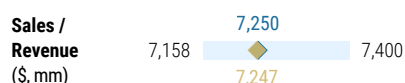
OWNERSHIP POSITIONING

Inst. Owners, % Active	95.3%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Sandisk Earnings Preview

The company is scheduled to report after the market close on Wednesday, August 5th.

We have very strong conviction that NAND remains durably strong, and that duration is our focus. Our view of the NAND market is that conditions have actually materially strengthened in the last 30 days. We have heard some anxiety on the market, as some, including third party Trendforce, have signalled some softness, but in our view those concerns are stale. A month ago we had seen some of the wobbles that Trendforce recently reported, but the market is now unequivocally strong, and durable, with data center customers voicing long term concerns that they cannot meet demand this year, next year, or the year after. So we are confident in better for longer.

Shorter term expectations are a still high, and if our conviction is 9.5 out of 10 that fundamentals will remain strong, we are closer to 7.5 out of 10 that the stock trades up on T+1. The debates on Q4 and 2027 have done little to lower expectations on near term results with a wide range of buy side expectations. Sandisk JV partner Kioxia reported last week, and saw pricing up 70% in their calendar 2Q. Sandisk and Kioxia had similar 100%+ q/q ASP increases a quarter ago, but it's important to realize the companies do have a very different business mix, and we wouldn't automatically assume identical trends. We model pricing up 23% in June and another 15% in September, we see upside to both estimates but wouldn't go as far as some of the numbers we are hearing despite the strength in the overall market.

What about LTAs? Sandisk may provide an update on LTA conversations with customers. As of a quarter ago Sandisk had 1/3rd of FY27 bits allocated under these agreements and we now think it is materially higher. Investor sentiment on LTAs has been a bit more mixed of late, amid concerns that it could cap the earnings upside, and we wouldn't rule out that reaction here as the LTAs do trade off some upside for duration. But the more important factor for us would be the signalling involved - if the biggest hyperscalers are tying up cash in 2028/29 agreements, it's a clear indication that they believe this to be durable. We do not believe that deals currently being closed are capped at the current level, given significant price adjustments that can be factored in over time.

We think this is an attractive entry point into the stock, as the 50% correction gets the stock back into the mid-low single digit PE range; if sentiment on cycle duration improves, we could see multiples return to recent peaks quite quickly with downside limited by strong near-term results.

Details on the quarter: For the June quarter, we model revenue of \$8.197bn (up 37.8% q/q and 331.2% y/y), below the street at \$8.423bn. Reflecting bits up 12% q/q, and ASPs up 23% q/q. Our non-GAAP gross margin estimate of 80.4% is slightly ahead of the street at 80.2%, and our EPS estimate of \$33.27 is below the street at \$34.67

Next quarter outlook: For the September quarter, we model revenue of \$10.841bn (up 32.3% q/q and 369.7% y/y), just above the street at \$10.675bn. Reflecting bits up 15% q/q and ASPs up 15% q/q. Our non-GAAP gross margin estimate of 85.7% is ahead of the street at 79.2%, and our EPS estimate of \$46.42 is above the street at \$43.94.

Exhibit 4: MS vs Cons

MS vs. Consensus									
Figures in \$ MMs									
	C2Q26E		C3Q26E		CY2026E		CY2027E		
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.	
Revenues	8,197	8,423	10,841	10,675	38,078	34,454	48,278	52,733	
Q/Q Change	37.8%	41.6%	32.3%	26.7%					
GMs	80.4%	80.2%	85.7%	79.2%	83.9%	79.0%	86.0%	86.9%	
EPS	\$ 33.27	\$ 34.67	\$ 46.42	\$ 43.94	\$ 161.07	\$ 137.07	\$ 208.11	\$ 226.67	

Source: Factset, Morgan Stanley

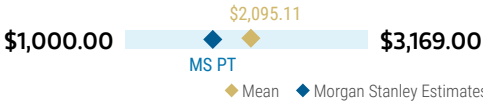
Risk Reward – SanDisk Corporation. (SNDK.O)

NAND improving quickly on the back of accelerating cloud demand

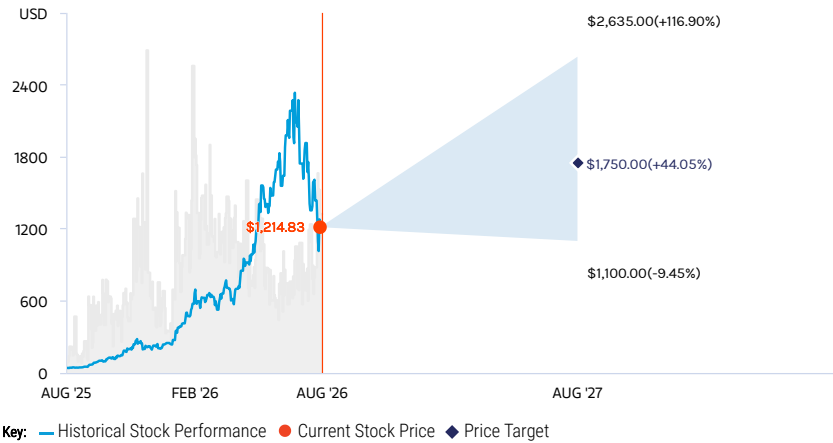
PRICE TARGET \$1,750.00

We assume 28x through-cycle EPS of \$62.50 (vs. our estimate of FY21-FY29 average of \$56). As improving industry dynamics as well as eSSD demand lead to sustained levels of higher profitability. 28x is a slight discount to our through-cycle multiple target for MU (28.5x) as the lower AI exposure is offset by historically higher FCF conversion

Consensus Price Target Distribution



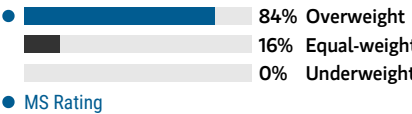
RISK REWARD CHART



OVERWEIGHT THESIS

AI demand is in the process of transforming the NAND market, and driving peak cycle EPS to multiples of what we have seen in the past. With still minimal new investment in capacity and evolving AI demand drivers we see a long runway for upward revisions.

Consensus Rating Distribution



Risk Reward Themes

New Data Era: Positive
Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$2,635.00

31x through-cycle EPS of \$85

Our bull case of \$2,635 per share represents 31x a higher through-cycle EPS of \$85.00. Here future peak earnings look similar to the current environment, with AI demand supporting through cycle EPS about 40% of current cycle peak. As well as with more mild downturns, higher levels of profitability supporting a higher multiple.

BASE CASE

\$1,750.00

28x through-cycle EPS of \$62.50

Improving industry dynamics as well as eSSD demand lead to higher levels of profitability than we have seen over the last few years, 28x is a discount to our through-cycle multiple target for MU (28.5x) as the lack of direct AI is offset by historically higher FCF conversion.

BEAR CASE

\$1,100.00

25x through-cycle EPS of \$44

We think Sandisk can avoid much of the pain of the last downturn (\$13 per share loss), and with a better upcycle, with the multiple towards the average of the semiconductor group.

Risk Reward – SanDisk Corporation. (SNDK.O)

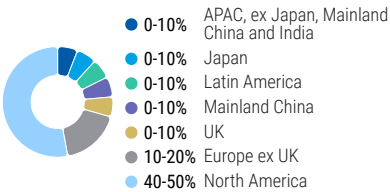
KEY EARNINGS INPUTS

Drivers	Jun 2025	Jun 2026e	Jun 2027e	Jun 2028e
GAAP Revenue (\$, mm)	7,355	19,480	48,826	43,405
Non-GAAP Gross Margin (%)	30.3	69.2	86.7	84.4
Non-GAAP EPS (\$)	2.74	65.03	214.73	179.97
Inventory (\$, mm)	2,079	2,107	2,451	2,412
DOI	145.5	126.2	135.1	128.0

INVESTMENT DRIVERS

- Improved pricing and demand strength drive earnings growth
- Position in DC SSD market improves

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Quicker eSSD penetration in the datacenter
- Higher NAND content growth from edge AI applications
- Sandisk's investments in advanced memory technologies such as HBF (high Bandwidth Flash) pay dividends

RISKS TO DOWNSIDE

- NAND industry growth disappoints
- Capex growth returns as industry participants invest to gain share
- Sandisk loses market share as they fail to gain traction in datacenter
- China continues to gain share

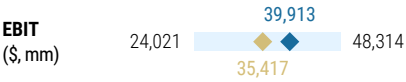
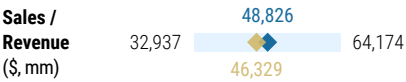
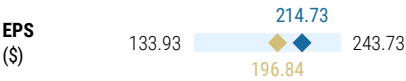
OWNERSHIP POSITIONING

Inst. Owners, % Active	48.6%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

AEVA Technologies Earnings Preview

The company is scheduled to report after the market close on Wednesday, August 5th.

We expect continued progress on automotive milestones, with updates on new product opportunities in industrial sensing, 360-degree lidar, and potentially data center. Aeva is still early in its commercial journey, and we think updates at this stage are likely to remain evolutionary rather than revolutionary.

In automotive, expectations for a Daimler revenue ramp through CY26/27 ahead of the Torc commercial launch, as well as SOP in 2028 for the top European OEM, are likely to remain unchanged. There is greater potential for news around the top-five OEM development program, the sizing of the Bendix opportunity, and any new engagements arising through Nvidia's Hyperion platform.

Outside automotive, we also expect to hear about progress on Aeva's development of its 360-degree product, "Omni," and industrial sensing ramps with Nikon and others. Perhaps the most intriguing of Aeva's opportunities is the applicability of its SOA technology to CPO. However, given the uncertain and long-dated nature of any data center potential, we do not necessarily expect to hear anything new.

Aeva's FMCW technology continues to be well positioned across physical AI applications, but there is still a long path to commercial scale.

Details on the quarter: We model revenue of \$6,262mn (flat q/q and up 13.6% y/y), above the Street at \$6,163mn. We see gross margins coming in at 20.0% compared to consensus at 17.6%. Finally, we expect non-GAAP EPS of -\$0.45, below the Street at -\$0.43.

Next quarter outlook: Looking ahead, we model revenue of \$7,828mn (up 25.0% q/q and up 118.7% y/y), above the Street at \$6,790mn. We see gross margins coming in at 20.0% compared to consensus at 18.6%. Finally, we expect non-GAAP EPS of -\$0.47, below the Street at -\$0.43.

Exhibit 5: AEVA: MS vs. Cons

MS vs. Consensus								
Figures in \$ thousands								
	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revs.	6,262	6,163	7,828	6,790	33,267	32,044	74,165	71,203
Q/Q Change	0.0%	-1.6%	25.0%	10.2%				
GMs	20.0%	17.6%	20.0%	18.6%	26.6%	20.2%	40.1%	24.0%
EPS	-\$0.45	-\$0.43	-\$0.47	-\$0.43	-\$1.80	-\$1.69	-\$1.66	-\$1.54

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Aeva Technologies Inc (AEVA.O)

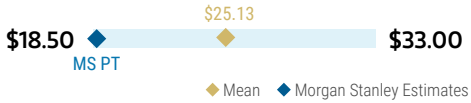
Equal-weight - promising technology, but a variable path to long-term revenue

PRICE TARGET \$18.50

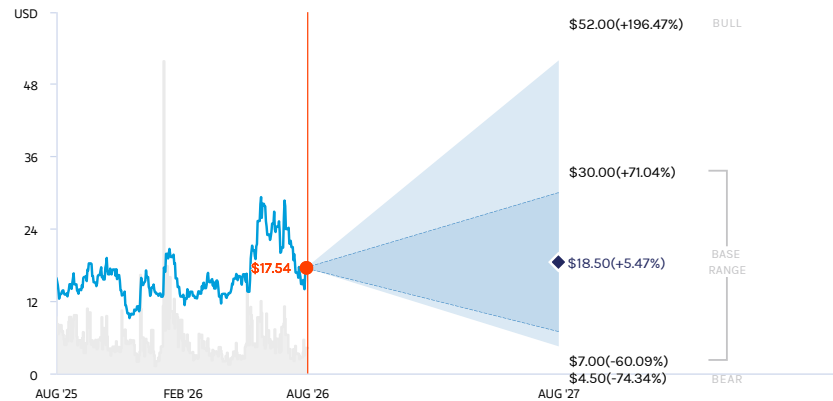
3-13x CY2028 revenue (in line with range of peers) discounted back at 12%, midpoint 8x

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

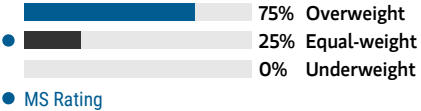


Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

We continue to view AEVA at Equal-weight as the company's strong potential growth prospects carry a lot of uncertainty. While the LiDAR market is in its early stages and is expected to ramp significantly in the coming years, there are questions around what role LiDAR will play relative to other technologies like computer vision (cameras) and radar. Furthermore, there are a number of LiDAR peers with competing technologies and it is unclear which solutions will ultimately win out. We believe there are enough questions around LiDAR as a solution and AEVA's positioning in the LiDAR space to keep us Equal-weight.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: Positive

New Data Era: Positive

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$52.00

20x CY2028 bull case revenue discounted back

Revenue ramp becomes more concrete as we see faster adoption of AV/ADAS, increased LiDAR penetration, and improved competitive positioning.

- AEVA benefits as its customer production ramp accelerates faster than expected, driving revenues to \$200mn+
- The company demonstrates success compared to peers leading to higher market share, offering a higher multiple
- Relative to other technologies, LiDAR emerges as the dominant autonomous solution

BASE CASE RANGE

\$7.00 - \$30.00

3-13x CY2028 revenue discounted back at 12%

Revenue grows to ~\$182 million in 2028, AV/ADAS continues to ramp as expected, the LiDAR market scales but faces competition, and the LiDAR market remains fragmented with no clear winners.

- The ongoing AV/ADAS ramp does not deviate meaningfully from current expectations
- The company demonstrates success but struggles to differentiate itself in a competitive and fragmented LiDAR market
- LiDAR continues to be utilized for certain solutions but is not the dominant option

BEAR CASE

\$4.50

2x CY2028 revenue discounted back at 12%

Revenue growth surprises to the downside given reduced NRE and fewer customer production ramps than expected.

- Autonomy ramp accelerates slower than expected, cash burn continues
- Major customer programs pushed out
- The company struggles relative to peers and loses market share
- Relative to other technologies, LiDAR is relegated to niche use cases

Risk Reward – Aeva Technologies Inc (AEVA.O)

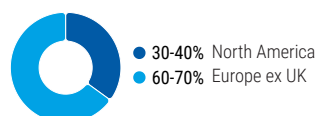
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue (\$, 000s)	18,079	33,267	74,165	181,686
Non Gaap Gross Margin (%)	(1.4)	26.6	40.1	40.6
Non-GAAP EPS (\$)	(1.75)	(1.80)	(1.66)	(1.09)
Inventory (\$, 000s)	5,787	13,191	6,808	19,443
DOI	113.7	194.6	55.2	64.9

INVESTMENT DRIVERS

- Adoption of AV/ADAS vehicles
- Relative success of FMCW LiDAR solutions relative to other technologies
- Competitive positioning compared to other LiDAR competitors

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected ramp of AV/ADAS
- LiDAR emerges as the dominant solution enabling autonomy
- AEVA gains share vs peers and becomes a key LiDAR supplier

RISKS TO DOWNSIDE

- The AV/ADAS ramp gets pushed out further
- LiDAR is relegated to niche solutions and is not the primary option for enabling autonomy
- AEVA loses share to other LiDAR competitors

OWNERSHIP POSITIONING

Inst. Owners, % Active	81%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

IONQ Earnings Preview

The company is scheduled to report after the market close on Wednesday, August 5th.

Focus on SkyWater integration, the 256-qubit system, and IonQ's changing financial profile. IonQ has exceeded its revenue outlook by 20–50% in each of the past four quarters, and we expect that pattern to continue. The specific drivers of quarterly upside remain difficult to isolate, and conservatism likely plays a role, but momentum appears strong across both organic and acquired businesses. We model second-quarter revenue of \$66.0 million, broadly in line with consensus at \$66.5 million, followed by 1.5% sequential growth in the third quarter. Beyond the results, we will be focused on commercial momentum across compute, networking, sensing, and space.

Beyond the quarter, the key debate is how SkyWater reshapes IonQ's roadmap and financial profile. IonQ has now closed the acquisition, and we estimate pro forma CY27 revenue of \$952 million, gross margin of 25%, and an operating loss of roughly \$517 million (see [IonQ to Acquire SkyWater Technology](#)). SkyWater will contribute the vast majority of combined-company revenue and physical assets, shifting IonQ away from a pure-play quantum model toward a more capital-intensive foundry and space platform. On the call, we will be looking for an updated pro forma outlook and confirmation that the 256-qubit system remains on track for demonstrations by year-end and delivery in the first half of 2027. Ultimately, for us, the story still depends most on IonQ demonstrating quantum technology leadership and translating its broad portfolio into durable commercial growth.

Details on the quarter: We model revenue of \$66.0 million, up 2.0% q/q, in-line with consensus at \$66.5 million. We expect gross margin of 39.9%, compared with consensus at 45.1%, and GAAP EPS of \$(0.58), versus the Street at \$(0.56).

Looking ahead: We model third-quarter revenue of \$67.0 million, up 1.5% q/q, in-line with consensus at \$67.2 million. We expect gross margin of 40.2%, compared with consensus at 46.1%, and GAAP EPS of \$(0.50), ahead of the Street at \$(0.54).

Exhibit 6: IONQ: MS vs. Cons

MS vs. Consensus								
Figures in \$ thousands								
	F2Q26E		F3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Revs.	65,961	66,470	66,951	67,186	265,535	268,549	401,261	383,716
Q/Q Change	2.0%	2.8%	1.5%	1.1%				
GMs	39.9%	45.1%	40.2%	46.1%	36.2%	43.9%	41.6%	53.7%
EPS	\$ (0.58)	\$ (0.56)	\$ (0.50)	\$ (0.54)	\$ 0.65	\$ (0.31)	\$ (1.98)	\$ (1.96)

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – IonQ Inc (IONQ.N)

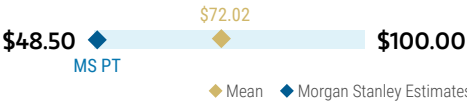
Early leader in emerging compute market, but story will take time to play out

PRICE TARGET \$48.50

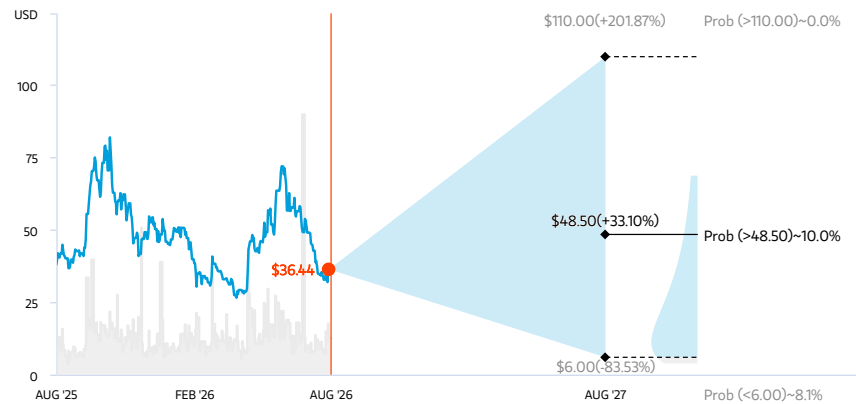
Our price target for IonQ is derived from 45X FY27 sales. 45x is at the midpoint of our base case range of 35-55x sales, reflective of the longterm nature of the opportunity and reflecting a wide range of potential outcomes.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

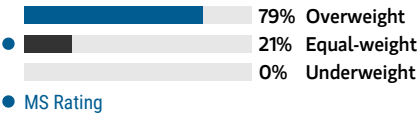


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 31 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

We expect strong top-line growth as the quantum computing industry grows from application discovery to full-scale deployment. Competitive pressures and questions surrounding customer concentration and a high expense ramp will remain as quantum attempts to commercialize. A significant portion of the company's value centers around the binary outcome of being early to achieve full-scale quantum advantage. That story will shake out over the next couple years.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: Positive

New Data Era: Positive

Secular Growth: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$110.00

80x bull case FY27 Sales

The company succeeds in developing and commercializing quantum computing systems with quantum advantage.

- assuming complete success in developing commercially valuable quantum computers, something we think could materialize around 2027. Resulting in further multiple expansion

BASE CASE RANGE

\$38.00 - \$59.00

35-55x 2027 sales

While there is no direct comparable within semis or compute, the longer term TAM seems quite large (\$65bn+ by 2030 according to some estimates). We think that the chance for relevance in an AI market that is likely \$200 bn plus in that time frame justifies a premium valuation. We have seen venture companies in the space with addressable markets valued in the several billions of dollars.

BEAR CASE

\$6.00

Net cash per share of \$6.00 at the end of 2027

Bear case assumes that the quantum computing opportunity fails to develop or pushes out meaningfully

- assuming the company is unable to achieve success in developing commercially valuable quantum computers by 2027, we see the ability for remaining cash, short-term and long-term investments to be returned to shareholders.

Risk Reward – IonQ Inc (IONQ.N)

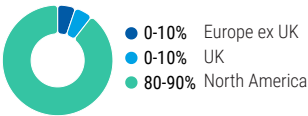
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Operating Income - Adjusted (\$, 000s)	(239,679)	(255,912)	(159,366)	(148,427)
Net Income - GAAP (\$, 000s)	(512,121)	235,528	(734,699)	(781,567)
Net Income - Adjusted (\$, 000s)	(184,795)	(197,840)	(119,969)	(130,808)

INVESTMENT DRIVERS

- Increasing adoption of quantum computing services
- Enterprise exploration of quantum algorithms
- Government initiatives around post-quantum security
- Potential for system sales to offset significant R&D investment

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than expected improvement of quantum hardware
- Stronger than forecasted adoption from public cloud users
- Increased use of quantum computing resources from large enterprise and government customers

RISKS TO DOWNSIDE

- Improvements to quantum hardware lag expectations
- Public cloud use stagnates
- Budgets for quantum resources decline materially if the macroeconomic environment worsens

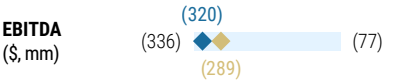
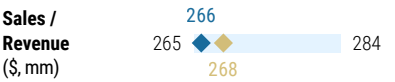
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.2%				
HF Sector Long/Short Ratio	2.1x				
HF Sector Net Exposure	29.5%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

MCHP Earnings Preview

The company is scheduled to report after the market close on Thursday, August 6th.

We expect a strong quarter similar to TI, STMicro, and Renesas - but the bar is high with almost every analog stock having traded down after reporting so far this cycle.

Intra-quarter, the tone from mgmt was notably constructive - the inventory correction looks durable and largely complete, customer counts are recovering at an extremely fast rate, distribution inventory is running lean below the normal range, and customers are ordering to demand vs restocking. Structural tailwinds have also continued to show momentum such as Data Center, A&D, and Industrial - with the Hailo edge AI acquisition (June 24th) providing another potential growth vector. What we are watching for earnings:

1.) SepQ guide. Mgmt was explicit that restocking has not yet begun - customers are just placing orders to get back to run rate - so the above-seasonal growth is coming from true end demand, not a pull-forward; peer read-throughs from STMicro (MCU supply tightening, POS "very strong") and Renesas (auto customers having run inventory too low, channel WOI declining despite inventory builds) are constructive direct read-throughs for MCHP's ~30% industrial and ~18% A&D mix.

2.) Gen 6 PCIe ramp and data center disclosure. The pure-play Data Center Solutions unit did \$303mn in CY25 and was guided to ~\$500mn in CY26 - but volume production on Gen 6 PCIe (3nm product) doesn't start until late this fiscal year, with the major ramp in CY27; any pull-forward in customer commitments or new design win color would be a meaningful positive.

Details on the June quarter: We model revenue of \$1,446mn, up 10.3% q/q and 34.4% y/y, in-line with consensus at \$1,458.5mn. Our GM/EPS estimates of 62.6%/\$0.70 are broadly in-line with consensus at 62.7%/\$0.70. By segment, we model Microcontrollers at \$717mn, up 10.0% q/q and 34.6% y/y; Analog at \$408.9mn, up 11.0% q/q and 29.3% y/y; and Others at \$320.1mn, up 10.0% q/q and 41.2% y/y.

September quarter outlook: We model revenue of \$1,514.3mn, up 4.7% q/q and 32.8% y/y, below consensus at \$1,554.3mn. Our GM/EPS estimates of 63.1%/\$0.74 are below consensus at 63.3%/\$0.80. By segment, we model Microcontrollers at \$745.7mn, up 4.0% q/q and 27.6% y/y; Analog at \$429.4mn, up 5.0% q/q and 33.6% y/y; and Others at \$339.3mn, up 6.0% q/q and 44.8% y/y.

Exhibit 7: MCHP: MS vs. Cons

MS vs. Consensus

Figures in \$ MMs

	C2Q26E		C3Q26E		2026E		2027E	
	MS	Cons.	MS	Cons.	MS	Cons.	MS	Cons.
Rev	1,446.0	1,458.5	1,514.3	1,554.3	5,769	5,841	6,517	6,944
Q/Q Change	10.3%	11.2%	4.7%	6.6%				
GMs	62.6%	62.7%	63.1%	63.3%	62.6%	62.5%	63.6%	64.3%
EPS	\$0.70	\$0.70	\$0.74	\$0.80	\$2.71	\$2.80	\$3.37	\$3.92

Source: FactSet, Morgan Stanley Research estimates

Risk Reward – Microchip Technology Inc. (MCHP.O)

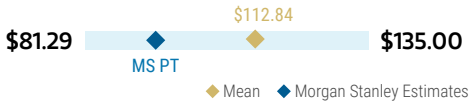
EW - Cyclical upside, but not just yet

PRICE TARGET \$94.00

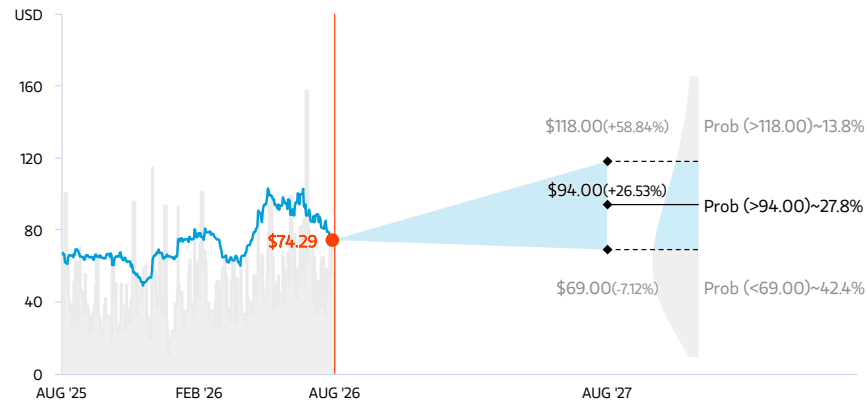
Our PT of \$94 represents an early-mid-cycle multiple of 28x on CY27e Non-GAAP EPS of \$3.37.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



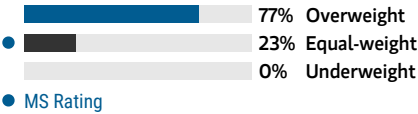
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 31 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- There's opportunity here as we think certain concerns surrounding the company are overblown (GM%, BS), but the biggest variable is revenue growth as a cyclical recovery would be an undeniable lever to EPS as well as dispel BS worries.
- There are considerable headwinds the company will have to get past including increased MCU competition, macro uncertainty, and regaining customer trust from overly extending PSP,
- If macro uncertainty subsides and we get indication that the MCU upcycle is strengthening, we would be quick to revisit our EW rating, but for now we remain EW.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE	\$118.00	BASE CASE	\$94.00	BEAR CASE	\$69.00
31x our non-GAAP CY27e EPS of \$3.82		28x our non-GAAP CY27e EPS of \$3.37		25x our non-GAAP CY27e EPS of \$2.76	
Analog/MCU recovery is stronger than expected and Microchip outperforms with market share gains across MCUs, which drive cross selling with Analog and FPGA.		Revenue acceleration in CY26 with moderation in CY27.		Macroeconomic uncertainty extends the sideways analog/MCU downturn recovery, with the company seeing a weaker revenue growth snapback in CY26 and a steeper moderation in CY27.	
- 19.7% revenue growth in CY27 as the upcycle snapback occurs later and the company outperforms		- 31.9% revenue growth in CY26 and 13% revenue growth in CY27		- 1.7% revenue growth in CY27	
- GM of 64.6% in CY27		- GM of 62.6% in CY26 and 63.6% in CY27		- GM of 61.6% in CY27	
		- CY26 EPS of \$2.71 and CY27 EPS of \$3.37			

Risk Reward – Microchip Technology Inc. (MCHP.O)

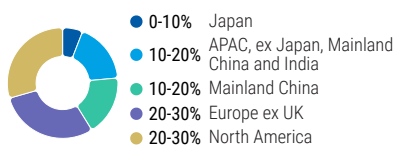
KEY EARNINGS INPUTS

Drivers	Mar 2026	Mar 2027e	Mar 2028e	Mar 2029e
GAAP Revenue (\$, mm)	4,713	5,947	6,683	7,334
Non Gaap Gross Margin (%)	57.7	62.4	62.9	63.1
MW EPS (\$)	1.19	2.32	2.86	3.26
Inventory (\$, mm)	1,035	1,105	1,193	1,273
DOI	189.7	180.2	175.8	171.5

INVESTMENT DRIVERS

- Continued market share gain in MCUs, with a focus in 32-bit.
- Total System Solutions approach drive cross-selling between MCUs, Analog and FPGA
- Growth in industrial markets, where MCHP is very well positioned

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Continued share gains in MCU drive cross selling synergies with analog and FPGA
- Shareholder returns expand ahead of market expectation

RISKS TO DOWNSIDE

- Broad based semi down cycle lasts longer than anticipated
- Debt and net leverage to increase
- Company loses market share to incremental China capacity

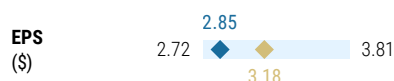
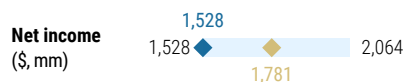
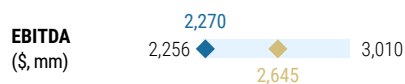
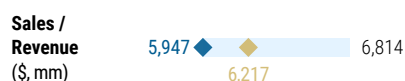
OWNERSHIP POSITIONING

Inst. Owners, % Active	46%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Mar 2027e

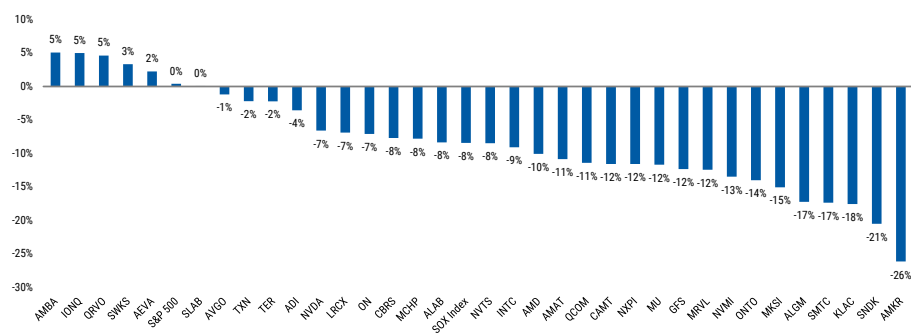


◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

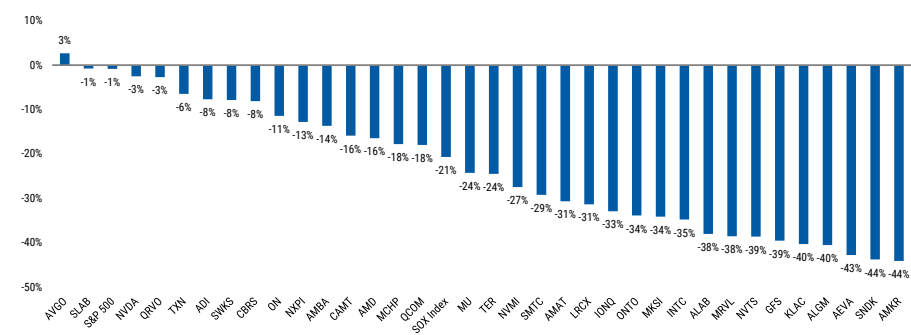
Semiconductor Coverage – Valuation / Stock Performance

Exhibit 8: Weekly stock performance



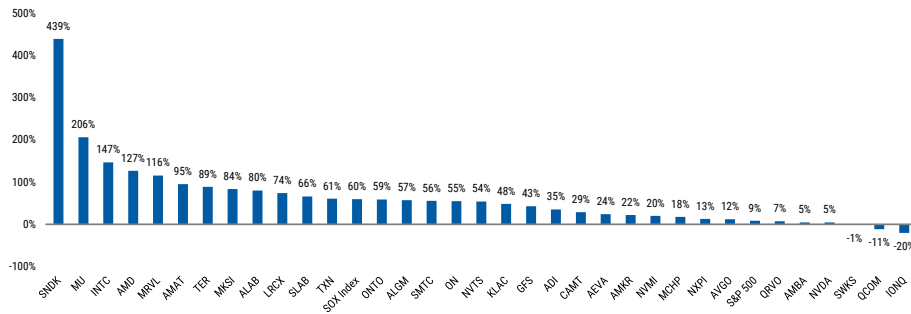
Source: FactSet, Morgan Stanley Research

Exhibit 9: Monthly stock performance



Source: FactSet, Morgan Stanley Research

Exhibit 10: YTD stock performance



Source: FactSet, Morgan Stanley Research

Semis Week Ahead

Exhibit 11: August 3rd - August 7th, 2026

July 20th-26th DAC 2026: The Chips To Systems Conference https://dac.com/2026/
Monday, July 27th CDNS Earnings 10:00am ET NVTS Earnings 5:00pm ET AMKR Earnings 5:00pm ET RMM Earnings 5:00pm ET
Tuesday, July 28th QPRX Earnings 4:00pm ET NXP Earnings 4:00pm ET SWKS Earnings 4:00pm ET KLAC Earnings 5:00pm ET
Wednesday, July 29th Mulex Earnings 4:30am ET TDR Earnings 8:30am ET ASML Earnings 9:00am ET CDNS Earnings 4:25pm ET QCOM Earnings 4:45pm ET ARM Earnings 5:00pm ET LCKR Earnings 5:00pm ET TSMC Earnings 5:00pm ET
Thursday, July 30th SMO Earnings 8:00am ET ASML Earnings 8:30am ET SPRINT Earnings 5:00pm ET
Friday, July 31st Kirta Earnings 2:00pm ET
LOOKING AHEAD Monday, August 3rd ATI Earnings 4:30pm ET UCTT Earnings 4:45pm ET ON Earnings 5:00pm ET
August 4th-6th Flash Memory Summit (FMS): Future of Memory & Storage https://flashmemorysummit.com/
Tuesday, August 4th TSM Earnings 10:00am ET ALM Earnings 4:30pm ET AMD Earnings 5:00pm ET
Wednesday, August 5th FX Earnings 5:00am ET GFI Earnings 9:30am ET POWR Earnings 4:30pm ET CRUS Earnings 5:00pm ET STN Earnings 5:00pm ET ATVA Earnings 5:00pm ET Globe Earnings 5:00pm ET
Thursday, August 6th MKS Earnings 4:00pm ET
Wednesday, August 12th CBS Earnings 5:00pm ET
Thursday, August 13th NDA Investor Day 9:00am ET AMAT Earnings 4:30pm ET
August 23rd-25th Hot Chips https://hotchips.org/
Wednesday, August 26th NDA Earnings 5:00pm ET
September 2nd-4th SEMICON Taiwan https://www.semicon-taiwan.org/en
September 8th-10th EPE Photonics Technology & E2V Lithography https://eape.org/conferences-and-exhibitions/photonics-technology-and-extreme-ultraviolet-lithography
September 15th-17th AI Infra Summit 2026 https://www.aiinfra-summit.com/
Wednesday, September 16th ON Financial Analyst Day 2:00pm ET
September 22nd-24th OCCM Technology Summit https://www.qualcomm.com/company/events/occm-technology-summit
Wednesday, September 23rd TSMC North America Q4 Earnings Forum https://jae.tsmc.com/english/events
September 28th-October 1st MAPS Symposium 2026 https://tmsa.org/events/MAPS-Symposium
October 12th-15th OCP Global Summit https://www.opencompute.org/summit/global-summit
October 13th-15th SEMICON Seoul https://www.semiconseoul.org/
Tuesday, October 20th Synaptics Tech Day 2026 https://investor.synaptics.com/events-and-presentations/events
October 20th-22nd OTC Berlin https://www.otcberlin.com/en-en/otc/
Wednesday, October 21st NDA CEO James Hoang Keynote Livestream https://bit.ly/38D
November 10th-11th SEMICON Europe https://www.semicon-europe.org/
November 15th-20th NCS Supercomputing Conference https://n2026.supercomputing.org/
December 9th-11th SEMICON Japan https://www.semicon-japan.org/en

Source: Bloomberg, Refinitiv, Morgan Stanley Research

Semiconductor Coverage

Exhibit 12: Semiconductors – Risk Reward

Ticker	Rating	Price	Risk-Reward			% Upside / Downside
			Bear	Base	Bull	Base
<u>Computing</u>						
AMD	EW	\$485.4	\$210	\$410	\$570	-16%
CBRS	OW	\$203.1	\$90	\$273	\$400	34%
INTC	EW	\$91.1	\$50	\$84	\$137	-8%
NVDA	OW	\$195.0	\$160	\$288	\$330	48%
<u>Memory</u>						
MU	OW	\$874.7	\$675	\$1,200	\$1,650	37%
SNDK	OW	\$1,280.0	\$1,100	\$1,750	\$2,635	37%
<u>Capital Equipment</u>						
AMAT	EW	\$501.8	\$455	\$647	\$854	29%
CAMT	EW	\$137.2	\$119	\$167	\$222	22%
KLAC	OW	\$180.3	\$165	\$253	\$325	40%
LRCX	OW	\$297.7	\$236	\$367	\$481	23%
MKSI	OW	\$293.3	\$278	\$442	\$595	51%
NVMI	EW	\$394.1	\$384	\$540	\$723	37%
ONTO	OW	\$250.5	\$257	\$371	\$475	48%
TER	EW	\$365.5	\$273	\$397	\$535	9%
<u>Comm-IC / Multi-Market</u>						
ALAB	OW	\$299.7	\$121	\$240	\$332	-20%
AMBA	OW	\$74.1	\$34	\$96	\$136	30%
AVGO	OW	\$387.8	\$308	\$502	\$637	29%
MRVL	EW	\$183.3	\$130	\$195	\$286	6%
QCOM	EW	\$151.6	\$104	\$220	\$298	45%
QRVO	EW	\$90.7	\$40	\$84	\$110	-7%
SMTC	EW	\$114.6	\$95	\$175	\$230	53%
SWKS	EW	\$62.5	\$43	\$72	\$105	15%
<u>Analog / MCUs</u>						
ADI	OW	\$366.7	\$342	\$428	\$517	17%
ALGM	OW	\$41.5	\$44	\$52	\$72	25%
MCHP	EW	\$75.0	\$69	\$94	\$118	25%
NVTS	UW	\$11.0	\$6.3	\$12.6	\$20.9	14%
NXPI	OW	\$245.2	\$270	\$338	\$404	38%
ON	NC	\$83.7	++	++	++	-
SLAB	EW	\$216.9	\$83	\$231	\$265	6%
TXN	UW	\$278.8	\$213	\$255	\$302	-9%
<u>Components</u>						
AEVA	EW	\$16.5	\$4.5	\$18.5	\$52.0	12%
<u>Foundry</u>						
AMKR	EW	\$48.3	\$49	\$70	\$89	45%
GFS	EW	\$49.9	\$34	\$58	\$96	16%
<u>Quantum Computing</u>						
IONQ	EW	\$35.8	\$6	\$48.5	\$110	36%

Source: FactSet, Morgan Stanley Research estimates

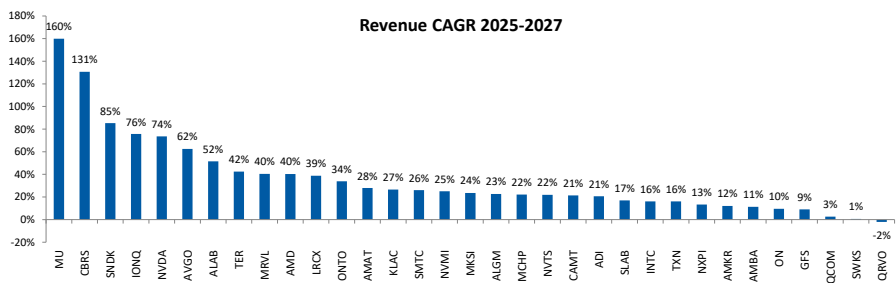
Exhibit 13: MS vs. Street

		CY2027e EPS					CY2027e Revenue		
		MS	Consensus	% Diff			MS	Consensus	% Diff
OW	ADI	\$15.28	\$15.46	(4%)	ADI	\$17,105	\$17,368	(3%)	
	ALAB	\$3.70	\$4.71	(8%)	ALAB	\$1,957	\$2,263	(1%)	
	ALGM	\$1.48	\$1.36	10%	ALGM	\$1,264	\$1,205	2%	
	AMBA	\$0.83	\$1.05	3%	AMBA	\$484	\$494	0%	
	AVGO	\$19.59	\$20.64	(3%)	AVGO	\$180,289	\$184,695	0%	
	CBRS	\$0.88	\$0.96	(3%)	CBRS	\$2,714	\$2,961	0%	
	KLAC	\$6.23	\$6.05	(1%)	KLAC	\$20,430	\$19,620	(0%)	
	LRCX	\$11.26	\$9.21	(0%)	LRCX	\$39,626	\$33,964	(0%)	
	MKSI	\$17.62	\$15.36	4%	MKSI	\$6,001	\$5,583	1%	
	MU	\$180.48	\$158.60	45%	MU	\$285,950	\$258,785	18%	
	NVDA	\$8.98	\$12.43	6%	NVDA	\$393,005	\$548,473	5%	
	NXPI	\$18.76	\$18.20	4%	NXPI	\$15,767	\$15,926	1%	
	ONTO	\$11.24	\$9.76	4%	ONTO	\$1,800	\$1,654	1%	
EW	SNDK	\$208.11	\$226.67	43%	SNDK	\$48,278	\$52,733	7%	
	AEVA	-\$1.66	-\$1.54	2%	AEVA	\$74	\$71	(19%)	
	AMAT	\$18.41	\$17.72	2%	AMAT	\$46,203	\$44,515	3%	
	AMD	\$12.12	\$13.79	1%	AMD	\$68,227	\$79,407	(5%)	
	AMKR	\$2.32	\$2.67	(8%)	AMKR	\$8,421	\$8,581	(4%)	
	CAMT	\$4.82	\$4.52	10%	CAMT	\$731	\$698	5%	
	GFS	\$2.39	\$2.49	(4%)	GFS	\$8,065	\$8,042	(1%)	
	INTC	\$2.00	\$2.01	21%	INTC	\$71,264	\$71,541	0%	
	IONQ	-\$0.32	-\$1.96	(109%)	IONQ	\$401	\$384	3%	
	MCHP	\$3.37	\$3.92	(1%)	MCHP	\$6,517	\$6,944	2%	
	MRVL	\$5.93	\$6.06	3%	MRVL	\$16,161	\$16,256	2%	
	NVMI	\$13.44	\$12.85	1%	NVMI	\$1,377	\$1,296	4%	
	QCOM	\$10.89	\$11.56	(100%)	QCOM	\$47,259	\$46,106	(100%)	
	QRVO	\$8.04	\$7.78	(3%)	QRVO	\$3,586	\$3,611	(7%)	
	SLAB	\$4.14	\$4.43	9%	SLAB	\$1,073	\$1,075	1%	
UW	SMTC	\$3.67	\$3.74	(2%)	SMTC	\$1,668	\$1,659	0%	
	SWKS	\$5.31	\$5.15	(4%)	SWKS	\$4,101	\$4,084	(3%)	
+	TER	\$11.91	\$11.75	0%	TER	\$6,476	\$6,322	2%	
	NVTS	-\$0.10	-\$0.13	13%	NVTS	\$68	\$74	15%	
+	TXN	\$9.80	\$10.15	(1%)	TXN	\$23,832	\$24,892	(1%)	
	ON	\$4.36	\$4.30	8%	ON	\$7,196	\$7,208	(0%)	

Source: FactSet, Morgan Stanley Research estimates

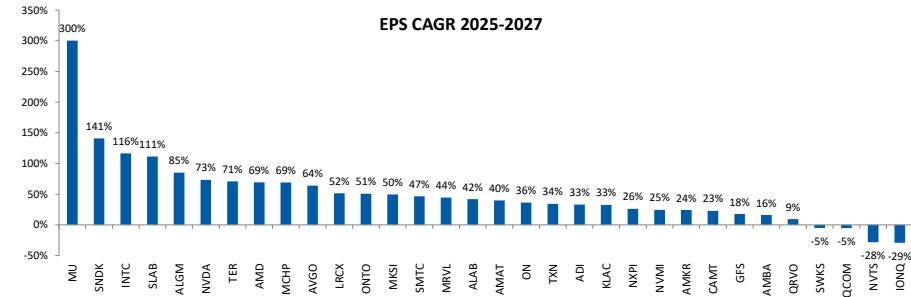
Revenue and EPS Growth

Exhibit 14: 2025-27e Revenue CAGR



Source: FactSet, Morgan Stanley estimates

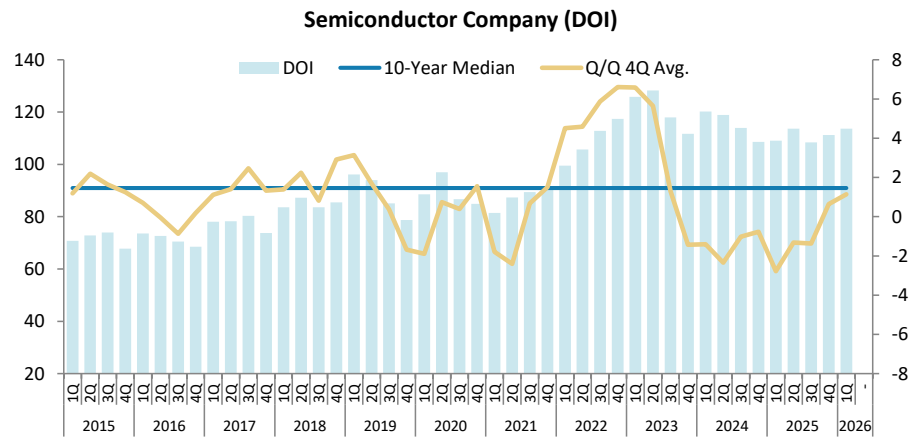
Exhibit 15: 2025-27e EPS CAGR



Source: FactSet, Morgan Stanley estimates

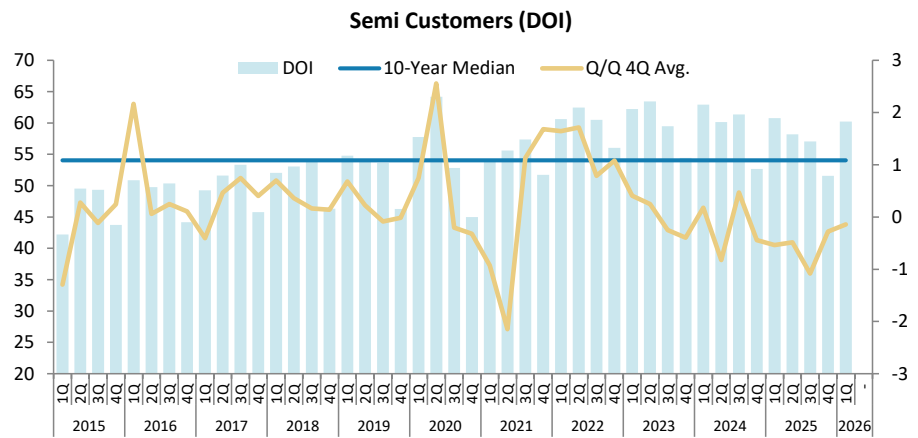
Inventory

Exhibit 16: Semiconductor Company inventory is at 114 days, up 2 days q/q, which is 2 days ahead of the seasonal increase of 5 days. DOI is 23 days above the historical median and trailing 4-quarters slightly increased...



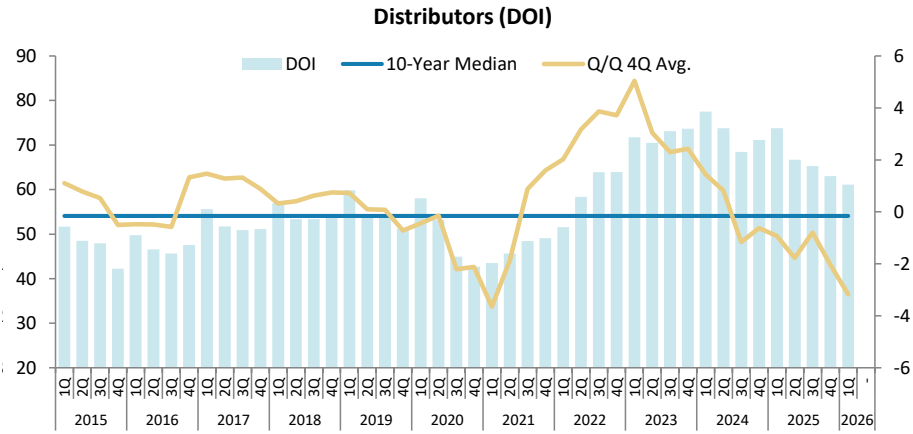
Source: FactSet, Morgan Stanley Research

Exhibit 17: Semi Customer DOI increased 9 days sequentially to 60 days vs a seasonal increase of 8 days. DOI is above the historical median and trailing 4 quarters increased from last quarter



Source: FactSet, Morgan Stanley Research

Exhibit 18: Distributor inventory is at 61 days, down 2 days q/q, below seasonal increase of 4 days. DOI is 7 days above the historical median while trailing 4-quarters decreased sequentially



Source: FactSet, Morgan Stanley Research

Short Interest

Exhibit 19: Short Interest as % of Float

	30/Jul/25	30/Apr/26	30/May/26	30/Jun/26	30/Jul/26
ADI	1.7%	2.2%	2.2%	2.5%	2.1%
AEVA	8.2%	11.9%	11.9%	6.9%	7.1%
ALAB	6.4%	7.7%	7.7%	7.4%	5.6%
ALGM	7.0%	5.9%	5.9%	8.3%	6.7%
AMAT	1.9%	2.0%	2.0%	2.5%	2.1%
AMBA	4.9%	6.0%	6.0%	7.5%	9.0%
AMD	3.0%	2.2%	2.2%	2.6%	2.4%
AMKR	2.6%	3.0%	3.0%	3.6%	3.5%
AVGO	1.2%	1.1%	1.1%	1.5%	1.4%
CAMT	7.8%	6.5%	6.5%	5.8%	5.4%
CBRS				4.8%	3.7%
GFS	1.8%	1.8%	1.8%	1.3%	1.2%
INTC	2.5%	2.8%	2.8%	2.5%	2.4%
IONQ	9.8%	22.4%	22.4%	11.8%	12.6%
KLAC	2.8%	2.4%	2.4%	0.3%	2.1%
LRCX	2.5%	2.3%	2.3%	2.3%	2.4%
MCHP	6.5%	5.5%	5.5%	7.2%	6.5%
MKSI	6.1%	5.3%	5.3%	7.3%	7.6%
MRVL	2.9%	3.2%	3.2%	3.9%	3.7%
MU	2.5%	3.3%	3.3%	2.8%	3.2%
NVDA	1.0%	1.2%	1.2%	1.3%	1.3%
NVMI	5.2%	4.8%	4.8%	4.6%	4.1%
NVTS	17.8%	16.0%	16.0%	13.2%	15.1%
NXPI	2.4%	2.6%	2.6%	3.5%	3.5%
ON	9.0%	7.5%	7.5%	7.7%	8.0%
ONTO	4.3%	2.0%	2.0%	5.3%	5.4%
QCOM	2.0%	4.7%	4.7%	3.8%	3.4%
QRVO	7.0%	6.7%	6.7%	7.7%	7.9%
SLAB	5.0%	5.7%	5.7%	7.0%	8.9%
SMTC	10.0%	6.7%	6.7%	6.0%	7.0%
SNDK	5.0%	7.3%	7.3%	4.9%	5.3%
SWKS	9.0%	15.1%	15.1%	19.2%	21.8%
TER	4.4%	3.5%	3.5%	5.8%	4.7%
TXN	1.9%	1.7%	1.7%	1.8%	1.7%
AVERAGE	5.2%	5.7%	5.7%	5.5%	5.6%
MEDIAN	4.9%	4.8%	4.8%	4.8%	4.4%

Source: FactSet, Morgan Stanley Research

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Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/31/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	\$476.15
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	\$17.54
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	\$41.50
Ambarella Inc (AMBA.O)	O (03/29/2016)	\$86.00
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	\$49.87
Analog Devices Inc. (ADI.O)	O (11/16/2023)	\$367.41
Astera Labs Inc (ALAB.O)	O (05/11/2025)	\$311.23
Broadcom Inc. (AVGO.O)	O (06/09/2024)	\$389.28
Cerebras Systems (CBRS.O)	O (06/08/2026)	\$198.71
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	\$49.99
Intel Corporation (INTC.O)	E (02/22/2023)	\$90.20
IonQ Inc (IONQ.N)	E (04/25/2023)	\$36.44
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	\$187.56
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	\$74.29
Micron Technology Inc. (MU.O)	O (10/06/2025)	\$823.03
Navitas Semiconductor Corp (NVT.S.O)	U (04/06/2025)	\$10.86
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	\$200.75

NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	\$229.16
ON Semiconductor Corp. (ON.O)	++	\$81.61
Qorvo Inc (QRVO.O)	E (10/28/2025)	\$90.57
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	\$147.61
Quantinuum (QNT.O)	E (06/29/2026)	\$51.41
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	\$1,214.83
Semtech Corp. (SMTC.O)	E (04/06/2025)	\$117.82
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	\$217.50
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	\$62.28
Texas Instruments (TXN.O)	U (04/13/2020)	\$275.74
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	\$23.62
Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	\$239.69
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	\$340.02
Synopsys Inc. (SNPS.O)	E (02/27/2026)	\$388.76

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* Historical prices are not split adjusted.